

HOUSE No. 4251



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GOVERNOR

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LIEUTENANT GOVERNOR

July 4, 2025

To the Honorable Senate and House of Representatives,

I am filing for your consideration a bill entitled “An Act Making Appropriations for Fiscal Year 2026 to Provide for Supplementing Certain Existing Appropriations and for Certain Other Activities and Projects.”

This bill is being filed as a companion to the Fiscal Year 2026 budget, which was signed alongside \$130 million in net vetoes designed to ensure that Massachusetts is in the best position to meet its obligations over the coming year and to respond to economic uncertainties, including potential federal cuts or economic headwinds.

Because of that, I am requesting \$100 million for a reserve to give our administration the flexibility to address time-sensitive pressures created by federal actions and address unfunded spending needs for FY26. This would include additional resources for the Department of Transitional Assistance with the goal of avoiding layoffs that could result without additional funding. I am also requesting a \$30 million transfer to the Housing Preservation and Stabilization Trust Fund to help the administration respond to the significant uncertainty around federal housing investments.

I am also seeking a number of administrative tools that will give our administration greater flexibility in this moment of uncertainty to respond quickly to changing economic conditions. These tools include:

- Expanded 9C Authority: Authorizing the Administration to make emergency mid-year budget cuts outside of the Executive Branch under certain conditions.

- **Line-Item Transferability:** Allowing the Administration to transfer funding between line-items to help us manage spending effectively throughout the year. This would be a one-year change capped at 5 percent of the amount appropriated in each line-item.
- **MassDOT Capital Salary Flexibility:** Authorizing MassDOT on a limited basis to include salaries of employees assigned to capital projects onto its capital budget.

In order to effectuate one of the vetoes made to the FY26 budget for the Group Insurance Commission, we are also requesting limited authority to make mid-year health insurance plan changes for members to address extreme price volatility related to GLP-1 weight-loss drugs. The high-cost of GLP-1 drugs have put extraordinary pressure on the GIC, and like other states and private insurers, it is no longer fiscally responsible at this time to cover open access to those pharmaceuticals. We are asking the GIC board to scale back coverage of those drugs to only those patients for whom the medication is medically necessary, including those with diabetes. This will allow us to save \$27.5 million in FY26 and will bring health plans offered to members more in line with what is being offered in the private market.

Finally, we are filing some proposals to give agencies targeted flexibilities, including transferability for certain line-items within the Executive Office for Housing and Livable Communities, maintaining access to MassVentures grants for small businesses independent of accompanying federal funding, and allowing greater flexibility in determining vaccine schedules for the Childhood Vaccine Program.

Respectfully submitted,

Maura T. Healey,
Governor

HOUSE No. 4251

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act making appropriations for the fiscal year 2026 to provide for supplementing certain existing appropriations and for certain other activities and projects.

Whereas, The deferred operation of this act would tend to defeat its purposes, which are to make supplemental appropriations for fiscal year 2026 and to make certain changes in law, each of which is immediately necessary to carry out those appropriations or to accomplish other important public purposes, therefore it is hereby declared to be an emergency law, necessary for the immediate preservation of the public convenience.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. To provide for supplementing certain items in the general appropriation act
2 for fiscal year 2026, the sums set forth in section 2A are hereby appropriated from the General
3 Fund unless specifically designated otherwise in this act, for the several purposes and subject to
4 the conditions specified in this act, and subject to the laws regulating the disbursement of public
5 funds for the fiscal year ending June 30, 2026. These sums shall be in addition to any amounts
6 previously appropriated and made available for the purposes of those items. These sums shall be
7 made available through the fiscal year ending June 30, 2026.

8 SECTION 2A.

9 EXECUTIVE OFFICE FOR ADMINISTRATION AND FINANCE

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Reserves

1599-1690 For a reserve to fund necessary costs to the commonwealth and respond to federal policy actions in fiscal year 2026; provided, that the secretary of administration and finance may transfer funds from this item to other items, as needed; and provided further, that not less than 15 days before making any such transfers, the secretary shall notify the house and senate committees on ways and means on: (i) the item receiving the transfer; (ii) the amount being transferred; and (iii) details on the need requiring the transfer.....\$100,000,000

OFFICE OF THE COMPTROLLER

Executive Office of Housing and Livable Communities

1595-0604 For an operating transfer to the Housing Stabilization and Preservation Trust Fund established in chapter 121B of the General Laws..... \$30,000,000

SECTION 3. Subsection (a) of section 24N of chapter 111 of the General Laws, as amended by section 111 of chapter 140 of the acts of 2024, is hereby amended by striking out the definition of “routine childhood immunizations” and inserting in place thereof the following definition:-

“Routine childhood immunizations”, immunizations for children until their nineteenth birthday as determined by the commissioner.

SECTION 4. Subsection (c) of said section 24N of said chapter 111, as so amended, is hereby amended by striking out the last 5 sentences and inserting in place thereof the following 6 sentences:- The council shall recommend the list of routine childhood immunizations, including types of vaccines to be purchased and shall take into account provider preference, cost,

availability and other factors as determined by the council. The commissioner shall recommend the amount of funding needed each fiscal year by calculating the total non-federal program cost. The council shall make recommendations to the commissioner on whether the commissioner may authorize provider choice of more than 1 comparable brand or type for a routine childhood immunization vaccine. In its recommendations, the council shall examine the feasibility, costs and benefits of authorizing provider choice, provide a schedule of the cost of each comparable brand or type of a vaccine recommended for provider choice and demonstrate that the estimated vaccine cost of authorizing provider choice would not be substantially greater than the estimated vaccine cost of purchasing a single brand or type of a vaccine. The commissioner of public health shall determine the final list of routine childhood immunizations and vaccines to be purchased. The council shall also consider other vaccine related questions presented by the commissioner.

SECTION 5. Subsection (f) of said section 24N of said chapter 111, as so amended, is hereby amended by striking out the words “Advisory Committee on Immunization Practices of the Centers for Disease Control and Prevention” and inserting in place thereof the following word:- commissioner.

SECTION 6. Item 7002-1522 of section 2 of chapter 238 of the acts of 2024 is hereby amended by striking out, in line item 7002-1522, the words “developed with the assistance of” and inserting in place thereof the following words:- , with preference for companies receiving.

SECTION 7. Item 7002-1523 of said section 2 of said chapter 238 is hereby amended by striking out, the words “ developed with the assistance of” and inserting in place thereof the following words:- , with preference for companies receiving.

SECTION 8. Notwithstanding section 6 of chapter 32A of the General Laws, for the plan year beginning in fiscal year 2026, the group insurance commission may alter the schedule of copayments and deductibles for health plans, or alter any other terms relating to health plans which would require authorization by vote of the commissioners during the current year.

SECTION 9. Notwithstanding any general or special law to the contrary, for fiscal year 2026, the secretary of housing and livable communities, with the written approval of the secretary of administration and finance, may authorize transfers of surplus among items 7004-0001, 7004-0099, 7004-0100, , 7004-0102, 7004-0104, 7004-0105, 7004-0106, 7004-0107, 7004-0108, 7004-0109, 7004-0202, 7004-3036, 7004-3045, 7004-4314, 7004-9005, 7004-9007, 7004-9024, 7004-9030, 7004-9031, 7004-9032, 7004-9033, 7004-9034, 7004-9315, 7004-9316 and 7004-9323, as necessary.

SECTION 10. For fiscal year 2026, the secretary of administration and finance may authorize any of the following actions; provided, that the secretary of administration and finance shall provide notice at least 15 days in advance to the house and senate committees on ways and means detailing the need for such action pursuant to this section:

(i) in addition to the powers authorized under section 9C of chapter 29 of the General Laws, whenever the secretary of administration and finance certifies that, in fiscal year 2026: (A) revenue collections for the fiscal year are at least \$400,000,000 under the consensus revenue benchmarks determined by the department of revenue; or (B) federal policy changes have resulted in a material negative impact of at least \$400,000,000 on the fiscal year 2026 General Appropriations Act such that budgeted revenues shall be insufficient to meet all expenditures authorized in chapter 9 of the acts of 2025; the power of the secretary of administration and

finance to allot funds under section 9B of chapter 29 of the General Laws shall extend to any monies appropriated by the general court under said chapter 9 of the acts of 2025 and the governor may reduce said allotments; provided, that the procedures set forth in said section 9C shall apply to any such further allotment reduction under this subsection;

(ii) notwithstanding any general or special law to the contrary, authorize the transfer of funds from any item of appropriation for fiscal year 2026 for any executive branch agency to any other item of appropriation for that agency or within its executive office; provided that no transfer authorized by this section shall exceed 5 per cent of the amount appropriated for an item; and, provided further that the transfer may be made only with the written approval of the heads of the sending and receiving agencies, of the secretary of the executive office of each agency involved in the transfer and the secretary of administration and finance; and

(iii) authorize the Massachusetts Department of Transportation to include certain salaries of employees in the department's capital expenditures if such employees are assigned to a capital project or projects in the department's 5-year capital investment plan for the fiscal years 2026 through 2030, inclusive, notwithstanding the provisions of section 15 of chapter 6C of the General Laws; provided that prior to the inclusion of any salaries in capital expenditures under this clause, the department shall submit a plan for the approval of the secretary of administration and finance, including: (A) the total amount of salary expenses to be included by the department in capital expenditures; (B) the total number of department employee salaries included in capital expenditures, including a breakdown by division of the position titles, description of capital project-related job responsibilities, and accompanying salaries; (C) the total number of employees of the department assigned to capital projects; (D) a schedule of transportation capital projects where employee salaries are included in capital expenditures; (E) the status of said

98 capital projects; (F) any projected cost savings; (G) the impact of including department employee
99 salaries in capital expenditures on the ability of the department to plan, design, construct and
100 complete transportation capital projects; and (H) a plan, not to exceed 36 months from the date
101 of the plan or the completion date of the capital project to which each listed position is
102 committed, whichever is longer, to restore the salaries related to such positions to the operating
103 budget; provided further, that the department shall prepare a report including items (A) through
104 (G), inclusive, and submit it to the chairs of the house and senate committees on ways and means
105 and the chairs of the joint committee on transportation no later than 30 days after the approval of
106 a plan by the secretary.